

Project: Construction of Industrial Warehouse G+1

Document: Commercial Contract Clauses

1. Payment Schedule

- **Advance Payment:** 10% of the total contract value will be paid as an upfront mobilization advance against a Bank Guarantee.
- **Progressive Payments:** Monthly invoices will be processed based on the actual work completed on-site, verified by the Project Manager.
- **Retention Money:** 5% will be deducted from every interim invoice and released after the "Defects Liability Period" (12 months after completion).

2. Project Timeline & Penalties

- **Completion Period:** 12 Months from the date of the "Letter of Award."
- **Liquidated Damages (LDs):** If the contractor fails to complete the work on time, a penalty of **0.5% of the contract value per week** of delay will be charged, up to a maximum of 10%.

3. Taxes & Duties

- All quoted rates in the **05_BOQ** must be inclusive of all applicable Government Taxes (GST, Income Tax, etc.).
- No extra payment will be made for fluctuations in material prices (Steel/Cement) during the first 6 months of the contract.

4. Performance Bond

- The successful bidder must submit a Performance Bank Guarantee of 10% of the contract price before signing the agreement.